

CAMS Exam Preparation

Domain B: Global AML/CFT Frameworks & Regulations (100 Study Slides)

Based on CAMS Candidate Handbook & Candidate Feedback

Domain B: 20% of CAMS Exam — 100 Key Concepts & Explanations

B.1.1: What is FATF and What Does It Do?

FATF Overview

Answer: FATF is an inter-governmental body established in 1989 by the G7. It sets global AML/CFT standards through the 40 Recommendations. The Secretariat is at OECD in Paris. FATF has 39 members and monitors implementation through Mutual Evaluations. It also identifies high-risk jurisdictions (Grey List and Black List).

Key point: FATF Recommendations are not legally binding treaties, but countries must implement them to avoid being blacklisted and facing economic consequences.

B.1.2: The Structure of the 40 FATF Recommendations

Seven Categories

Answer: The 40 Recommendations are organized into seven categories:

- ① AML/CFT Policies and Coordination (Rec. 1-2)
- ② Money Laundering and Confiscation (Rec. 3-4)
- ③ Terrorist Financing and Proliferation Financing (Rec. 5-8)
- ④ Preventive Measures (Rec. 9-23)
- ⑤ Transparency of Legal Persons/Arrangements (Rec. 24-25)
- ⑥ Powers of Competent Authorities (Rec. 26-35)
- ⑦ International Cooperation (Rec. 36-40)

B.1.3: How Does FATF Assess Countries?

Mutual Evaluation - Two Pillars

Answer: FATF assesses countries on two pillars:

- **Technical Compliance:** Do laws exist on paper? Rated Compliant (C), Largely Compliant (LC), Partially Compliant (PC), or Non-Compliant (NC).
- **Effectiveness:** Do laws achieve intended outcomes? Rated High, Substantial, Moderate, or Low across 11 Immediate Outcomes (IO.1-IO.11).

Critical: A country can have perfect laws (high Technical Compliance) but Low Effectiveness if no prosecutions occur.

B.1.4: What Are the 11 FATF Immediate Outcomes?

IO.1 through IO.11

Answer: The 11 Immediate Outcomes measure effectiveness:

- **IO.1:** ML/TF risks understood and coordinated
- **IO.2:** International cooperation used
- **IO.3:** Supervision of FIs and DNFBPs
- **IO.4:** Preventive measures applied
- **IO.5:** Legal persons prevented from misuse
- **IO.6:** Financial intelligence used by authorities
- **IO.7:** ML investigated and prosecuted
- **IO.8:** Proceeds of crime confiscated
- **IO.9:** TF investigated and prosecuted
- **IO.10:** TF asset freezing and confiscation
- **IO.11:** Counter-proliferation financing measures

B.1.5: What Does Low Effectiveness on IO.6 Look Like?

IO.6 - Financial Intelligence Used

Answer: IO.6 assesses whether financial intelligence from the FIU is used by law enforcement. **Low effectiveness example:** The FIU receives 60,000 STRs annually but never disseminates any intelligence to law enforcement. Despite high volume, the intelligence is not used, so IO.6 is rated Low. **Required evidence:** Dissemination of intelligence, investigations initiated from FIU reports, and feedback from law enforcement to FIU.

B.1.6: What Does Low Effectiveness on IO.7 Look Like?

IO.7 - ML Investigated and Prosecuted

Answer: IO.7 assesses whether money laundering is investigated and prosecuted. **Low effectiveness example:** High STR volume but only three ML investigations in five years and zero convictions. Prosecutors lack training on financial crime methodology. This results in Low effectiveness regardless of STR volume. **Required evidence:** ML investigations initiated from FIU intelligence, actual convictions, trained prosecutors.

B.1.7: What Does Low Effectiveness on IO.8 Look Like?

IO.8 - Proceeds Confiscated

Answer: IO.8 assesses whether proceeds of crime are confiscated. **Low effectiveness example:** Confiscation laws exist but no assets ever confiscated because prosecutors cannot trace criminal proceeds and no asset management office exists. Laws alone are insufficient - actual confiscation is required. **Required evidence:** Assets identified, traced, frozen, and confiscated; asset management office; non-conviction based forfeiture available.

B.1.8: What Does FATF Recommendation 1 Require?

Rec. 1 - Risk-Based Approach

Answer: Countries and financial institutions must identify, assess, and understand ML/TF risks, then apply measures commensurate with those risks. **Key principles:**

- Simplified measures where risks are lower (Simplified Due Diligence - SDD)
- Enhanced measures where risks are higher (Enhanced Due Diligence - EDD)
- Risk assessments must be updated regularly

Not allowed: One-size-fits-all approach or blanket de-risking without individual assessment.

B.1.9: What Does FATF Recommendation 2 Require?

Rec. 2 - National Cooperation

Answer: Countries must establish national AML/CFT policies, designate competent authorities (FIU, supervisors, law enforcement), and ensure cooperation and coordination among them. **Deficiency example:** A financial supervisor identifies significant AML deficiencies at banks but never communicates these findings to the FIU or law enforcement. This violates Recommendation 2. **Required:** Information sharing mechanisms, regular coordination meetings, adequate resources.

B.1.10: What Does FATF Recommendation 3 Require?

Rec. 3 - Money Laundering Offense

Answer: Countries must criminalize money laundering based on the widest range of predicate offenses. **Key requirements:**

- Apply to all serious predicate offenses (the "all-crimes approach" is preferred)
- Self-laundering **MUST** be criminalized (predicate offender can be charged with ML)
- Apply regardless of where the predicate offense occurred
- Minimum predicate offenses include: drug trafficking, fraud, corruption, tax crimes

Example: Drug trafficker who processes own proceeds can be charged with both drug trafficking AND money laundering.

B.1.11: What Does FATF Recommendation 4 Require?

Rec. 4 - Confiscation

Answer: Countries must adopt measures to confiscate proceeds of crime and instrumentalities of crime. **Key requirements:**

- Include property of corresponding value (substitute assets)
- Extend to property converted or transformed from proceeds
- Include income or benefits derived from proceeds
- Powers to identify, trace, freeze, and seize property

Important: Non-conviction based forfeiture (civil forfeiture) is recommended.

B.1.12: What Does FATF Recommendation 5 Require?

Rec. 5 - Terrorist Financing Offense

Answer: Countries must criminalize terrorist financing as a standalone offense. **Key requirements:**

- Criminalize TF regardless of whether funds are actually used for a terrorist act
- **No minimum monetary threshold** (even \$1 is sufficient)
- Collecting or providing funds for terrorist purposes is enough
- Apply to nationals and entities

Deficiency example: A \$10,000 threshold for TF violates Recommendation 5 because it implies small amounts are legal.

B.1.13: What Does FATF Recommendation 6 Require?

Rec. 6 - Targeted Financial Sanctions (TF)

Answer: Countries must implement UN Security Council resolutions on terrorist financing. **Key requirements:**

- Implement UNSCR 1267, 1373, and 1988
- Freeze assets without delay of designated persons
- Prohibit funds or assets from being available to designated persons
- Establish mechanisms for delisting and access to funds for basic expenses

Freeze must be immediate - no prior notice to the customer.

B.1.14: What Does FATF Recommendation 7 Require?

Rec. 7 - Proliferation Financing

Answer: Countries must implement UN Security Council resolutions on WMD proliferation. **Key requirements:**

- Implement UNSCR 1540, 1718, 1737, 1747, 1803, 1929, 2231, 2270
- Freeze assets of designated proliferators
- Prohibit provision of funds or services to designated persons
- Apply enhanced due diligence to proliferation financing risks

Red flags: Dual-use goods exports to sanctioned jurisdictions, payment routing through multiple intermediaries.

B.1.15: What Does FATF Recommendation 8 Require?

Rec. 8 - Non-Profit Organizations

Answer: Countries must apply targeted risk-based supervision of NPOs vulnerable to terrorist financing abuse. **Key requirements:**

- Mechanisms to ensure NPOs are not misused by terrorist organizations
- Outreach and awareness programs for NPOs
- Monitoring of cross-border transactions involving NPOs

Red flags for NPOs: Large donation from a Grey List jurisdiction, rapid cash withdrawal (80%+ within 48 hours) far from headquarters.

B.1.16: What Does FATF Recommendation 9 Require?

Rec. 9 - Financial Institution Secrecy Laws

Answer: Financial institution secrecy laws must NOT impede implementation of FATF Recommendations. **Key requirements:**

- FIs must provide customer information to competent authorities
- FIs cannot invoke bank secrecy to refuse STR filing
- Professional secrecy (attorney-client privilege) has limited exceptions for financial transactions

Bank secrecy is NOT a valid defense against AML obligations.

B.1.17: When Must CDD Be Conducted Under FATF Rec. 10?

Rec. 10 - CDD Triggers

Answer: CDD must be conducted in four specific situations:

- ① When establishing a business relationship
- ② When carrying out an occasional transaction above the threshold (USD/EUR 15,000)
- ③ When there is a suspicion of money laundering or terrorist financing (regardless of amount)
- ④ When there is doubt about the veracity of previously obtained identification documents

Note: CDD is required even for very small transactions if suspicion exists.

B.1.18: What Are the Four Required Elements of CDD?

Rec. 10 - CDD Elements

Answer: CDD must include four elements:

- ① Identify the customer and verify their identity using reliable, independent source documents
- ② Identify the beneficial owner and take reasonable measures to verify their identity
- ③ Understand the purpose and intended nature of the business relationship
- ④ Conduct ongoing due diligence on the business relationship and scrutinize transactions throughout the relationship

All four elements are mandatory.

B.1.19: What Is the Recordkeeping Requirement Under FATF Rec. 11?

Rec. 11 - Recordkeeping

Answer: All records must be retained for a minimum of 5 years. **Specific requirements:**

- Transaction records (national and international): 5 years following transaction completion
- Customer identification records (CDD files): 5 years after business relationship ends
- STRs and supporting documentation: 5 years after filing
- Records must be available to competent authorities upon request

Minimum 5 years - some countries require longer (e.g., 10 years in some EU states).

B.1.20: What CDD Obligations Apply to Casinos Under FATF Rec. 12?

Rec. 12 - DNFBPs (Casinos)

Answer: Casinos must conduct CDD when a customer purchases chips or tokens equivalent to USD/EUR 3,000 or more. **Additional requirements:**

- CDD includes verifying identity and source of funds for large transactions
- Casinos must be licensed or registered
- Casinos must be supervised for AML/CFT compliance

Note: Some jurisdictions (e.g., U.S.) require CTRs at 10,000 and SARs at 5,000 threshold in addition to FATF's \$3,000 CDD trigger.

B.1.21: What CDD Obligations Apply to Real Estate Agents Under FATF Rec. 13?

Rec. 13 - DNFBPs (Real Estate)

Answer: Real estate agents must conduct CDD when involved in transactions concerning buying or selling real estate. **Key requirements:**

- Applies to both residential and commercial property
- Must verify identity of buyer and seller
- Must report suspicious transactions
- Recordkeeping for 5 years

Red flags: All-cash purchases through anonymous LLCs, wire transfers from attorney IOLTA accounts, refusal to disclose beneficial owner.

B.1.22: What Are the MVTs Requirements Under FATF Rec. 14?

Rec. 14 - Money or Value Transfer Services

Answer: All money or value transfer service providers must be licensed or registered and subject to AML/CFT monitoring. **Key requirements:**

- CDD, recordkeeping, and STR filing obligations apply
- Unlicensed MVTs providers subject to criminal or administrative sanctions
- **No cultural heritage exemption** for hawala operators

Hawala operators must be licensed like any other MVTs provider.
"Traditional" or "cultural" is not an exemption.

B.1.23: What Does FATF Rec. 15 Require for Virtual Assets?

Rec. 15 - New Technologies

Answer: Countries must assess ML/TF risks of new technologies and regulate virtual asset service providers (VASPs). **Key requirements:**

- VASPs must be licensed or registered
- VASPs subject to AML/CFT obligations (CDD, Travel Rule, SAR filing)
- **No exemption** for DeFi if control exists
- Countries must regulate virtual asset activities

FATF updated Rec. 15 to explicitly include virtual assets.

B.1.24: What Information Must Accompany a Wire Transfer Under FATF Rec. 16?

Rec. 16 - Wire Transfer Rule (Travel Rule)

Answer: For cross-border wire transfers above USD/EUR 1,000, the following information is required: **Originator information:**

- Full name
- Account number (or unique transaction reference)
- Address, national ID number, customer ID number, OR date and place of birth (at least ONE)

Beneficiary information:

- Full name
- Account number (or unique identifier)

Receiving institution must obtain and hold this information.

B.1.25: Can a Bank Rely on a Third Party for CDD Under FATF Rec. 17?

Rec. 17 - Third-Party Reliance

Answer: Yes, but with strict conditions and the bank remains ultimately responsible. **Conditions:**

- Third party must be subject to FATF-compliant AML requirements
- Ultimate responsibility for CDD remains with the bank (cannot outsource liability)
- Bank must have direct access to CDD information immediately
- Third party must provide copies of identification documents upon request

Cannot outsource responsibility - the bank is always accountable.

B.1.26: What Does FATF Rec. 18 Require for Financial Groups?

Rec. 18 - Group-Wide Programs

Answer: Financial groups must implement group-wide AML/CFT programs across all branches and subsidiaries. **Key requirements:**

- Apply to all branches and subsidiaries (including foreign)
- Group policies must be at least as strict as home country requirements
- Information sharing within the group is permitted (subject to confidentiality)
- Enhanced group measures for higher-risk jurisdictions

Example: An EU parent bank must apply EU AML standards to its Cayman Islands subsidiary.

B.1.27: How Must a Bank Respond to FATF Grey List and Black List Jurisdictions?

Rec. 19 - High-Risk Jurisdictions

Answer: Different responses apply: **Black List (Call for Action - Iran, North Korea):**

- Apply enhanced due diligence (EDD)
- Apply countermeasures (restrict or terminate correspondent relationships)

Grey List (Increased Monitoring - Turkey, Jamaica):

- Apply EDD (enhanced scrutiny)
- Countermeasures not automatically required (risk-based)
- Individual risk assessments required (no blanket termination)

B.1.28: When Must an STR Be Filed Under FATF Rec. 20?

Rec. 20 - Suspicious Transaction Reporting

Answer: STR must be filed immediately upon suspicion, regardless of transaction value. **Key principles:**

- File immediately upon suspicion (no delay to gather more evidence)
- No minimum monetary threshold
- No requirement for conclusive proof - reasonable suspicion is the standard
- No disclosure to customer (tipping-off prohibition)
- Safe harbor from civil and criminal liability for good-faith filings

Reasonable suspicion is the standard - not certainty, not probable cause.

B.1.29: What Is the Tipping-Off Prohibition Under FATF Rec. 21?

Rec. 21 - Tipping-Off

Answer: FIs and their directors, officers, and employees are prohibited from disclosing that a SAR has been filed. **Prohibited disclosures**

include:

- Telling a customer a SAR has been filed on their account
- Disclosing that "compliance is reviewing your account" (implies SAR)
- Disclosing investigation to unauthorized third parties (press, public)

Permissible disclosures:

- Internal sharing with legal department on need-to-know basis
- 314(b) sharing with other opted-in institutions
- Responding to law enforcement subpoena

B.1.30: What CDD Obligations Apply to Lawyers Under FATF Rec. 22?

Rec. 22 - DNFBPs (Lawyers, Notaries)

Answer: Lawyers and notaries must conduct CDD when performing specified financial activities: **Activities requiring CDD:**

- Buying or selling real estate for a client
- Managing client money, securities, or accounts
- Managing bank or savings accounts
- Creating or operating legal persons or trusts

Exemption: Providing legal advice on a client's legal position or representing a client in legal proceedings (CDD not required, but STR still required if suspicious).

B.1.31: What Obligations Apply to Trust and Company Service Providers Under FATF Rec. 23?

Rec. 23 - DNFBPs (TCSPs)

Answer: Trust and Company Service Providers must conduct CDD and maintain records. **Key requirements:**

- Conduct CDD when forming legal persons or arrangements
- Identify beneficial owners of the legal persons they create
- Maintain records for 5+ years
- File STRs when suspicious activity is detected

Examples of TCSPs: Company formation agents, registered agents, nominee directors and shareholders, trust administrators.

B.1.32: What Does FATF Rec. 24 Require for Beneficial Ownership of Legal Persons?

Rec. 24 - Legal Person Transparency

Answer: Countries must ensure adequate, accurate, and current beneficial ownership information is obtained and held. **Key requirements:**

- Prohibit bearer shares OR require immobilization with a regulated custodian
- BO information must be accessible to competent authorities
- Sanctions for non-compliance

Deficiency example: A BO registry exists but is not accessible to financial institutions without a court order (delay of weeks). This violates Rec. 24.

B.1.33: What Does FATF Rec. 25 Require for Beneficial Ownership of Trusts?

Rec. 25 - Legal Arrangement Transparency

Answer: Trustees must hold adequate, accurate, and current beneficial ownership information on trusts. **Who must be identified:**

- Settlor (the person who creates the trust)
- Trustee(s) (and UBOs if corporate trustee)
- Protector (if the protector has veto rights or power to replace the trustee)
- Beneficiaries (to the extent they are determinable)

A protector with veto power over distributions IS a beneficial owner.

B.1.34: What Does FATF Rec. 26 Require for Supervision of Financial Institutions?

Rec. 26 - Supervision of FIs

Answer: Supervisors must have adequate powers and use a risk-based approach. **Key requirements:**

- Supervisors must have powers to inspect and impose sanctions
- Use risk-based approach to allocate resources and determine examination frequency
- On-site AND off-site monitoring required
- Penalties for violations must be imposed (not optional)

Deficiency example: Same 5-year exam frequency for all banks regardless of risk; no penalties issued in 10 years.

B.1.35: What Powers Must Supervisors Have Under FATF Rec. 27?

Rec. 27 - Powers of Supervisors

Answer: Supervisors must have comprehensive enforcement powers.

Required powers:

- Conduct inspections (on-site and off-site)
- Request access to all information (CDD files, STRs, transaction data)
- Impose sanctions (fines, restrictions, license revocation)
- Issue cease-and-desist orders
- Remove or suspend personnel

Supervisors must have "teeth" - power to enforce, not just recommend.

B.1.36: What Is the Role of a Financial Intelligence Unit (FIU) Under FATF Rec. 29?

Rec. 29 - Financial Intelligence Units

Answer: The FIU is the national center for receiving, analyzing, and disseminating financial intelligence. **Key functions:**

- Receive and analyze STRs from FIs and DNFBPs
- Disseminate financial intelligence to competent authorities (law enforcement, prosecutors)
- Have access to necessary information (public databases, financial records)
- Secure exchange of information with foreign FIUs (via Egmont Group)
- Operational independence and autonomy

Examples: FinCEN (U.S.), UKFIU (UK), TRACFIN (France), UIF (Spain).

B.1.37: What Does FATF Rec. 30 Require for Law Enforcement?

Rec. 30 - Law Enforcement Authorities

Answer: Law enforcement must conduct financial investigations into ML/TF. **Key requirements:**

- LE must conduct parallel financial investigations in predicate crime cases
- Must be able to identify, trace, freeze, and seize assets
- Must have power to obtain financial records expeditiously (days, not months)
- Specialized investigators and prosecutors for financial crime

Deficiency example: 6-12 month delay to obtain bank records (assets can be moved by then).

B.1.38: What Investigative Powers Are Required Under FATF Rec. 31?

Rec. 31 - Powers of Competent Authorities

Answer: Competent authorities must have comprehensive investigative powers. **Required powers:**

- Compel production of documents and records (including financial records)
- Conduct searches of persons and premises
- Take witness statements under oath
- Obtain financial and law enforcement information
- Use special investigative techniques (undercover operations, electronic surveillance, controlled deliveries)

These powers apply to both ML and TF investigations.

B.1.39: What Controls Are Required for Cash Couriers Under FATF Rec. 32?

Rec. 32 - Cash Couriers

Answer: Countries must have declaration or disclosure systems for cross-border currency movement. **Required controls:**

- Declaration OR disclosure system for currency and bearer negotiable instruments at borders
- Authority to stop, restrain, and question cash couriers
- Sanctions for false declarations or non-disclosure (seizure, fines, criminal charges)
- Ability to seize cash suspected of being ML/TF related

Deficiency example: No declaration system, cash couriers intercepted with \$500,000 but no penalties.

B.1.40: What Statistics Must Countries Maintain Under FATF Rec. 33?

Rec. 33 - Statistics

Answer: Countries must maintain comprehensive statistics on AML/CFT effectiveness. **Data that must be collected:**

- STRs received, analyzed, and disseminated by the FIU
- ML/TF investigations, prosecutions, and convictions
- Asset freezing, seizure, and confiscation amounts
- International cooperation requests (MLATs sent, received, and executed)
- Mutual evaluation follow-up

Statistics are used to inform policy and resource allocation decisions.

B.1.41: What Guidance and Feedback Must Competent Authorities Provide Under FATF Rec. 34?

Rec. 34 - Guidance and Feedback

Answer: Competent authorities must provide guidance and feedback to FIs and DNFBPs. **What must be provided:**

- Red flag indicators for detecting suspicious activity
- Typologies and emerging ML/TF trends
- Feedback on STR quality and usefulness
- Best practices and case studies
- Outreach and awareness programs

This is NOT optional - Rec. 34 is a standard, not a best practice.

B.1.42: What Sanctions Are Required Under FATF Rec. 35?

Rec. 35 - Sanctions

Answer: Sanctions for non-compliance must be effective, proportionate, and dissuasive. **Types of sanctions:**

- Criminal sanctions (imprisonment, criminal fines)
- Civil sanctions (civil penalties, damages)
- Administrative sanctions (fines, license revocation, debarment, cease-and-desist orders)
- Available for FIs, DNFBPs, directors, and senior management
- Available for both natural persons (individuals) and legal persons (corporations)

B.1.43: What Is the Purpose of Mutual Legal Assistance Treaties (MLATs) Under FATF Rec. 36?

Rec. 36 - Mutual Legal Assistance Treaties

Answer: MLATs provide formal, legally binding mechanisms for cross-border exchange of evidence. **Key requirements:**

- Provide the widest range of mutual legal assistance
- Respond to MLAT requests expeditiously
- Designate a central authority for MLAT processing
- Execute requests for evidence, witness testimony, restraint, and confiscation

MLAT vs. Egmont: MLAT for evidence admissible in court (formal, slow); Egmont for intelligence sharing (informal, fast, not court-admissible).

B.1.44: How Does FATF Rec. 37 Address Dual Criminality?

Rec. 37 - Dual Criminality

Answer: MLAT should be provided regardless of dual criminality requirements. **Key principles:**

- MLAT assistance should be provided even if dual criminality is not satisfied
- If dual criminality is required, the predicate offense list should be interpreted broadly
- Treat money laundering as a predicate offense for terrorist financing (and vice versa)
- Avoid restrictive interpretations that hinder international cooperation

Goal: Minimize barriers to international cooperation on ML/TF cases.

B.1.45: What Asset Recovery Assistance Is Required Under FATF Rec. 38?

Rec. 38 - Asset Freezing and Confiscation

Answer: Countries must provide assistance for freezing, seizure, and confiscation of assets. **Key requirements:**

- Provide assistance for freezing, seizure, and confiscation of proceeds of crime
- Non-conviction based forfeiture assistance
- Respond to requests for property of corresponding value (substitute assets)
- Manage and dispose of confiscated property
- Consider asset sharing agreements (splitting recovered assets with assisting country)

B.1.46: What Extradition Requirements Does FATF Rec. 39 Impose?

Rec. 39 - Extradition

Answer: Countries must extradite persons charged with ML/TF offenses.

Key requirements:

- Extradite persons charged with ML/TF offenses
- Simplified extradition procedures when possible
- Consider ML/TF as extraditable offenses in all extradition treaties
- Extradite own nationals where feasible (or prosecute them domestically)

Purpose: Prevent criminals from evading justice by crossing borders.

B.1.47: What Other Forms of International Cooperation Are Required Under FATF Rec. 40?

Rec. 40 - Other Forms of Cooperation

Answer: Countries must provide informal international cooperation beyond MLATs. **Types of cooperation:**

- FIU-to-FIU cooperation (through the Egmont Group)
- Supervisor-to-supervisor cooperation (banking, securities, insurance regulators)
- Law enforcement-to-law enforcement cooperation (police-to-police)
- Provide spontaneous information sharing (without a request)
- No treaty required for informal cooperation

B.2.1: What Is the FATF Grey List and How Should Banks Respond?

Grey List - Increased Monitoring

Answer: The Grey List includes jurisdictions with strategic AML/CFT deficiencies that have committed to an action plan. **Bank obligations:**

- Apply Enhanced Due Diligence (EDD) to all transactions
- Increased scrutiny on correspondent accounts
- Individual risk assessments required (no blanket termination)
- NOT automatically required to terminate relationships

Recent examples: Turkey, Jamaica, Albania, Bulgaria (2023-2024).

B.2.2: What Is the FATF Black List and How Should Banks Respond?

Black List - Call for Action

Answer: The Black List includes high-risk jurisdictions subject to a Call for Action. **Bank obligations:**

- Apply countermeasures as called for by FATF
- Countermeasures may include: termination of correspondent relationships, restrictions on transactions, enhanced reporting requirements
- FATF calls on members to apply countermeasures

Current Black List: Iran, North Korea, Myanmar (as of 2024). **Black List requires stronger action than Grey List.**

B.3.1: How Do FSRBs Differ from FATF?

FATF vs. FSRBs

Answer: FSRBs are autonomous regional bodies, not subordinate to FATF. **Key distinctions:**

- FATF is a global body that sets the 40 Recommendations
- FSRBs are autonomous regional bodies (APG, MONEYVAL, GAFILAT, MENAFATF, GIABA, ESAAMLG)
- FSRBs promote, implement, and assess FATF Recommendations within their regions
- FSRBs conduct mutual evaluations using the same methodology as FATF
- Evaluation results are reported to FATF; significant deficiencies may lead to grey/black listing

B.3.2: Can an FSRB Evaluate a Non-FATF Member?

FSRB Evaluation Authority

Answer: Yes, FSRBs evaluate their member jurisdictions, whether or not those members are also FATF members. **Key points:**

- FSRBs conduct mutual evaluations using the same FATF Methodology (Technical Compliance and Effectiveness across 11 Immediate Outcomes)
- Evaluation results are reported to FATF
- A country with significant deficiencies may be referred to FATF for potential public identification (Grey List or Black List)

FSRB evaluation can lead to FATF grey listing - same consequences.

B.4.1: What Is the USA PATRIOT Act and Why Is It Important for AML?

USA PATRIOT Act Overview

Answer: The Uniting and Strengthening America by Providing Appropriate Tools Required to Intercept and Obstruct Terrorism Act was enacted after 9/11. **Key features:**

- Expanded U.S. government surveillance and investigative powers
- Strengthened AML/CFT requirements for financial institutions
- Key sections 311-319 address correspondent banking and cross-border issues
- Administered by FinCEN, OFAC, and DOJ

Heavily tested on CAMS - know Sections 311, 313, 314(a), 314(b), 319(a), 319(b).

B.4.2: What Actions Can Be Taken Under USA PATRIOT Act Section 311?

Section 311 - Primary Money Laundering Concern

Answer: The Secretary of Treasury can designate a foreign financial institution as a "primary money laundering concern." **Measures that can be imposed:**

- Prohibit U.S. FIs from opening or maintaining correspondent or payable-through accounts for the designated institution
- Impose special recordkeeping and reporting requirements on transactions
- Impose conditions on correspondent accounts (e.g., requiring pre-approval of all transactions)

Not authorized: Seizing personal assets of employees without separate legal authority.

B.4.3: What Is the Shell Bank Prohibition Under USA PATRIOT Act Section 313?

Section 313 - Shell Bank Prohibition

Answer: A "shell bank" is defined as a bank with no physical presence in any country and not affiliated with a regulated financial institution. **U.S.**

banks are absolutely prohibited from maintaining correspondent accounts for foreign shell banks. **No exceptions for:**

- G20 central bank regulation (not relevant)
- Filing SARs every 90 days (does not cure)
- Enhanced monitoring (not sufficient)

B.4.4: What Are a Bank's Obligations Under USA PATRIOT Act Section 314(a)?

Section 314(a) - Law Enforcement Requests

Answer: FinCEN sends requests to financial institutions identifying subjects of investigation. **Bank obligations:**

- Search accounts and transactions according to FinCEN's instructions
- Search for the specified time period (e.g., last 6 months, 1 year)
- Maintain confidentiality of the request (cannot disclose to customer)
- Report matches to law enforcement via FinCEN

Not required: Freeze accounts automatically (unless separate authority).

B.4.5: What Is Voluntary Information Sharing Under USA PATRIOT Act Section 314(b)?

Section 314(b) - Voluntary Information Sharing

Answer: Financial institutions that have filed the required FinCEN opt-in notification may voluntarily share information with other opted-in institutions. **Key features:**

- Share information about persons suspected of ML/TF activity
- Receive safe harbor from liability for sharing
- Build a complete picture across institutions
- May share SAR information (this is an exception to tipping-off rules)

314(b) sharing is explicitly permitted by law and is NOT tipping-off.

B.4.6: What Is the Difference Between USA PATRIOT Act Sections 319(a) and 319(b)?

Section 319(a) vs. 319(b)

Answer: The two sections address different aspects of correspondent banking. **Section 319(a) - Forfeiture of Funds:**

- Allows U.S. government to seize funds from a correspondent account
- Funds must be traceable to money laundering
- Subject to judicial process

Section 319(b) - Record Production:

- Allows U.S. government to demand that a foreign bank produce records of its U.S. correspondent account
- If the foreign bank refuses, the U.S. bank may be required to terminate the account and funds may be seized

B.5.1: What Did the EU Fourth AML Directive (4AMLD) Introduce?

4AMLD - Key Provisions (2015)

Answer: 4AMLD introduced several key requirements:

- Beneficial ownership registers for corporate entities
- Risk-based approach to AML/CFT supervision
- Enhanced due diligence for PEPs (both domestic and foreign)
- Extended AML requirements to casinos and some virtual currency activities
- List of beneficial owners accessible to competent authorities

Note: VASPs were fully added in 5AMLD, not 4AMLD.

B.5.2: What Did the EU Fifth AML Directive (5AMLD) Add?

5AMLD - Key Provisions (2018)

Answer: 5AMLD expanded and strengthened AML requirements:

- Extended CDD to virtual currency exchange platforms and custodian wallet providers (VASPs)
- Publicly accessible central registries of beneficial owners
- Lowered prepaid card CDD threshold from EUR 250 to EUR 150
- Bank account registers for FIUs to identify account holders
- Enhanced powers for FIUs (access to all financial information)

5AMLD added VASPs to AML/CFT requirements.

B.5.3: What Did the EU Sixth AML Directive (6AMLD) Introduce?

6AMLD - Key Provisions (2020)

Answer: 6AMLD harmonized and strengthened criminal law provisions:

- Harmonized 22 predicate offenses across all EU member states (binding, not optional)
- Extended criminal liability to legal persons (corporations) - not just fines
- Minimum maximum sentences: 4 years for ML, 5-15 years for aggravating circumstances
- No requirement for conviction of the predicate offender first
- Extended liability to negligent supervisors who fail to prevent ML

6AMLD is heavily tested - know the differences from 5AMLD.

B.6.1: What Are the Key UN Security Council Sanctions Regimes?

UNSC Sanctions - Binding Obligations

Answer: UNSC resolutions are binding on all UN member states under international law. **Key sanctions regimes:**

- UNSCR 1267/1988: Al-Qaida and Taliban
- UNSCR 1373: Terrorist financing (general)
- UNSCR 1540: WMD proliferation financing
- UNSCR 1718: North Korea (nuclear and missile programs)
- UNSCR 2231: Iran (nuclear program)

Bank obligations: Freeze assets immediately without prior notice, report to UNSC committee.

B.6.2: What Are Bank Obligations Under UNSCR 1540 for Proliferation Financing?

UNSCR 1540 - WMD Non-Proliferation

Answer: UNSCR 1540 requires member states to establish controls to prevent WMD proliferation financing. **Bank obligations:**

- Screen transactions for dual-use goods exports to sanctioned jurisdictions
- Identify proliferation financing red flags (inconsistent end-use, routing through intermediaries)
- File STRs for suspicious proliferation-related transactions

Red flags: Dual-use goods (radiation-hardened chips, maraging steel) to sanctioned countries, end-use claims inconsistent with goods (e.g., "atmospheric research" for missile components).

B.7.1: What Is the Egmont Group and What Does It Do?

Egmont Group - FIU Network

Answer: The Egmont Group is a global network of 170+ Financial Intelligence Units. **Key functions:**

- Secure platform (Egmont Secure Web) for FIU-to-FIU information exchange
- Established "Egmont Group Principles for Information Exchange Between FIUs"
- Provides training and technical assistance for members
- Membership requires meeting criteria (member of FATF or FSRB, operational FIU)

B.7.2: What Are the Limitations on Egmont-Exchanged Intelligence?

Egmont Information Exchange Principles

Answer: Egmont-exchanged intelligence has strict limitations:

- Used only for AML/CFT purposes (cannot be used for tax investigations or commercial purposes)
- Receiving FIU must maintain confidentiality
- Cannot share with third parties without the originating FIU's prior authorization
- **Not automatically admissible in criminal court** (unlike MLAT-obtained evidence)

Egmont exchanges **CANNOT** replace MLATs for criminal prosecution.

B.8.1: What Is the Purpose of a Mutual Legal Assistance Treaty (MLAT)?

MLAT - Formal Evidence Exchange

Answer: MLATs provide formal, legally binding mechanisms for governments to exchange evidence. **Key features:**

- Exchange of evidence, judicial documents, and witness testimony
- Cross-border asset freezing and forfeiture
- Records obtained are admissible in criminal proceedings
- Each country designates a central authority for processing

MLAT vs. Egmont:

- MLAT: Evidence admissible in court (formal, slow, requires treaty)
- Egmont: Intelligence sharing (informal, fast, not court-admissible without conversion)

B.9.1: What Is the Wolfsberg Group and What Is Its Role?

Wolfsberg Group - Private Banking Association

Answer: The Wolfsberg Group is a private association of 13 global banks (Goldman Sachs, Barclays, UBS, Santander, etc.). **Key functions:**

- Develops best practices and guidance for AML/CFT
- Not legally binding, but widely adopted as industry standard
- Focus areas: correspondent banking, private banking, AML/CFT, trade finance
- Produces the Correspondent Banking Due Diligence Questionnaire (CBDDQ)

Key principle: Individual risk assessments, not blanket de-risking.

B.9.2: What Areas Are Covered in the Wolfsberg CBDDQ?

Wolfsberg CBDDQ - Key Areas

Answer: The CBDDQ covers three critical areas:

- 1 Respondent bank's AML/CFT policies, procedures, and internal controls
- 2 Respondent bank's customer base, including high-risk segments (MSBs, NBFIs, foreign PEPs, shell companies)
- 3 Respondent bank's independent testing schedule and results

Not covered: CEO's personal investments, office furniture, employee dress code. **Most critical risk factor:** Respondent servicing unlicensed MSBs + no recent independent audit.

B.9.3: What Is the Wolfsberg Group's Position on De-Risking?

Wolfsberg De-Risking Guidance

Answer: The Wolfsberg Group advises against indiscriminate de-risking.

What is discouraged:

- Blanket termination of all relationships in a region
- Categorical exclusion based solely on geography
- No individual risk assessment

What is permissible:

- Terminating a specific respondent based on documented high-risk factors
- Individual, documented risk assessment

Justified risk-based exit (with documentation) is not de-risking; blanket termination is.

B.10.1: What Does the Basel Committee Expect for AML/CFT Risk Management?

Basel Committee - AML/CFT Integration

Answer: The Basel Committee expects AML/CFT risk management to be integrated into the bank's overall operational risk management framework.

Key expectations:

- AML/CFT across all three lines of defense (not a siloed compliance function)
- Enterprise-Wide Risk Assessments (EWRAs) to identify ML/TF risks
- Senior management accountability for AML/CFT
- Group-wide AML programs for all branches and subsidiaries

B.10.2: What Are the Three Lines of Defense in AML Governance?

Three Lines of Defense Model

Answer: The Basel Committee defines three lines of defense: **First Line -**

Business Operations:

- Front-line staff, relationship managers, tellers
- Own customer relationships and identify anomalies

Second Line - Compliance:

- Compliance Department, AML Officer, MLRO
- Oversight, guidance, monitoring, reporting

Third Line - Internal Audit:

- Internal Audit Department
- Independent assurance to the Board

Independence violation: Audit cannot design controls it later tests.

B.11.1: What Is the Purpose of a Public-Private Partnership (PPP) for AML?

PPP - Intelligence Sharing

Answer: PPPs improve intelligence sharing between government authorities and financial institutions. **Goals:**

- Detect complex financial crime networks (human trafficking, TF cells)
- Share emerging typologies and red flags
- Help law enforcement prioritize financial intelligence
- Improve SAR quality through feedback

Does NOT replace:

- SAR filing obligations
- Independent testing of AML programs
- CDD obligations

B.12.1: How Does GDPR's Right to Erasure Conflict with AML Recordkeeping?

GDPR Article 17(3) - Exception to Right to Erasure

Answer: GDPR Article 17(3) explicitly carves out exceptions to the right to erasure where retention is necessary for compliance with a legal obligation. **Resolution:**

- AML/CFT recordkeeping obligations constitute a legal obligation that overrides the right to erasure
- Banks may lawfully refuse to delete records required for AML/CFT (KYC, transaction records, SAR documentation)
- Retention is typically 5+ years
- Additionally, SAR confidentiality prohibits acknowledging the existence of a SAR to the customer

AML retention requirements OVERRIDE GDPR erasure requests.

B.12.2: How Should a Bank Handle a U.S. Subpoena for Customer Data from a European Branch?

GDPR vs. U.S. Law Enforcement - Cross-Border Data Transfer

Answer: The bank must comply with the U.S. subpoena but can use GDPR compliance mechanisms. **Resolution:**

- GDPR includes exceptions for cross-border data transfers necessary for important public interest grounds, including law enforcement cooperation
- The U.S. branch is subject to U.S. law regardless of GDPR
- The bank should seek legal advice on GDPR compliance mechanisms: Standard Contractual Clauses (SCCs), derogations for law enforcement

The bank cannot simply ignore the U.S. subpoena because of GDPR.

B.13.1: What Is the Difference Between OFAC Primary and Secondary Sanctions?

Primary vs. Secondary Sanctions

Answer: Primary Sanctions:

- Apply to U.S. persons and U.S.-dollar transactions
- Any transaction with a nexus to the U.S. (clearing through a U.S. bank)
- Direct jurisdiction - can result in fines and penalties

Secondary Sanctions:

- Target non-U.S. entities with no U.S. nexus
- Conducting "significant" transactions with designated sectors (Iran energy, Russia defense, North Korea)
- Consequences: SDN listing, loss of USD correspondent banking access

B.13.2: Does the EU Blocking Statute Protect Against U.S. Secondary Sanctions?

EU Blocking Statute vs. U.S. Secondary Sanctions

Answer: The EU Blocking Statute provides legal defenses in EU courts but does NOT prevent U.S. secondary sanctions. **EU Blocking Statute provides:**

- Legal defense in EU courts (prohibits EU companies from complying with U.S. secondary sanctions)
- Allows recovery of damages from parties that caused the sanctions

EU Blocking Statute does NOT:

- Prevent the U.S. from imposing secondary sanctions
- Protect USD correspondent banking access
- Shield the bank from losing dollar-clearing access

Practical risk: U.S. can still cut off the bank's USD correspondent access.

B.13.3: How Is the OFAC 50% Rule Calculated Through Multiple Ownership Tiers?

OFAC 50% Rule - Multi-Tier Calculation

Answer: Ownership is calculated by multiplying through each tier.

Example: Individual X (SDN-listed) owns 55% of Company A. Company A owns 40% of Company B. Company B owns 60% of Company C.

Analysis:

- Company A is blocked (55% owned by SDN)
- Company B is NOT blocked (40% ownership from A is below 50%)
- Because Company B is not blocked, its 60% ownership of Company C does NOT transmit blocked status
- Company C is NOT blocked

If an entity in the chain is not blocked, it does not transmit blocked status downstream.

B.14.1: What Are the Five Pillars of a BSA/AML Compliance Program?

BSA Five Pillars (31 CFR §1020.210)

Answer: Every financial institution must maintain five minimum pillars:

- 1 Internal controls reasonably designed to assure BSA compliance
- 2 Designated compliance officer (BSA Officer/MLRO) with authority and resources
- 3 Ongoing employee training (initial and periodic, role-based)
- 4 Independent testing (audit by independent party, not self)
- 5 Customer due diligence (including beneficial ownership identification)

All five are required. The CDD Rule (2016) added beneficial ownership as the fifth pillar.

B.14.2: Who Must Be Identified as a Beneficial Owner Under the FinCEN CDD Rule?

FinCEN CDD Rule - Two Prongs of UBO Identification

Answer: Two categories of individuals must be identified: **Ownership Prong:**

- Any individual who directly or indirectly owns 25% or more of the equity interests of the legal entity
- Calculate through tiers (multiply percentages)

Control Prong:

- At least one individual who exercises significant managerial control
- Examples: CEO, CFO, COO, president, general partner, or similar

The Control Prong is required even if no individual meets the 25% ownership threshold.

B.14.3: What Protections Does the SAR Safe Harbor Provide?

SAR Safe Harbor (31 U.S.C. §5318(g))

Answer: The Safe Harbor provides specific protections: **Protected:**

- Immunity from civil liability for good-faith SAR filing
- Immunity from liability for failure to disclose the SAR to the customer

Not protected:

- Using a SAR as evidence in court (except in limited criminal cases for false statements)
- Bad-faith filings

Confidentiality: Unauthorized disclosure of a SAR is a criminal offense (fines + imprisonment up to 5 years). **Retention:** 5 years from filing date.

B.14.4: When Must a Currency Transaction Report (CTR) Be Filed?

CTR Requirements (31 CFR §1010.311)

Answer: CTRs must be filed for cash transactions exceeding \$10,000.

Key rules:

- In a single transaction or multiple related transactions
- Within a single business day
- Filed within 15 days

Exemptions: Certain customers are exempt (publicly traded companies, government agencies, certain payroll customers). **Structuring:** Breaking cash deposits into amounts below \$10,000 to evade CTR is a federal crime (31 U.S.C. §5324), independent of the underlying source of funds.

B.15.1: What Are the Reporting Requirements Under the Corporate Transparency Act?

CTA - Beneficial Ownership Information (BOI) Reporting

Answer: The CTA requires reporting companies to file BOI with FinCEN.

Key requirements:

- Reporting companies (LLCs, corporations, other entities) are primarily responsible for filing (not banks)
- File initial BOI report within 90 days of formation (30 days for entities created after effective date)
- File with FinCEN (not IRS, not state)
- Update BOI within 30 days of any change

Exempt entities: Large operating companies (20+ U.S. employees, \$5M+ revenue, physical U.S. office), publicly traded companies, banks, credit unions.

Domain B Summary: Top 20 Most Tested Concepts

- ❶ **Mutual Evaluations:** Technical Compliance vs. Effectiveness (11 IOs)
- ❷ **Grey List vs. Black List:** Increased Monitoring vs. Call for Action
- ❸ **Rec. 10 CDD:** 4 triggers + 4 elements
- ❹ **Rec. 16 Travel Rule:** Required originator/beneficiary information
- ❺ **Rec. 1 Risk-Based Approach:** Proportionate measures, no de-risking
- ❻ **Rec. 3 Predicate Offenses:** All-crimes approach, self-laundering
- ❼ **Rec. 5 TF Offense:** No minimum threshold
- ❽ **Rec. 19 High-Risk Jurisdictions:** EDD + countermeasures for Black List
- ❾ **Rec. 20 STR Filing:** Immediately upon suspicion, no minimum
- ❿ **Rec. 21 Tipping-Off:** Prohibited disclosures
- ⓫ **Rec. 24 Legal Person Transparency:** Bearer shares prohibited or immobilized
- ⓬ **Rec. 25 Trusts:** Identify settlor, trustee, protector, beneficiaries
- ⓭ **Rec. 30 Law Enforcement:** Expeditious access to records

Critical Red Flags - Domain B Quick Reference

- **Low Effectiveness (IO.6):** FIU receives 60,000 STRs but never disseminates
- **Low Effectiveness (IO.7):** Zero ML convictions despite high STR volume
- **Low Effectiveness (IO.8):** Confiscation laws exist but no assets confiscated
- **Rec. 2 Violation:** Supervisor finds AML deficiencies but never tells FIU or LE
- **Rec. 5 Violation:** \$10,000 threshold for TF offense
- **Rec. 24 Violation:** BO registry exists but FIs need court order to access
- **Rec. 30 Violation:** 6-12 month delay to obtain bank records
- **Rec. 32 Violation:** No cash declaration system at borders
- **Section 313 Violation:** U.S. bank maintains correspondent account for shell bank
- **Tipping-Off:** Telling customer "compliance is reviewing your account"

Exam Day Reminders for Domain B

- **Domain B is 20% of the exam**
- FATF Recommendations, Mutual Evaluations, and USA PATRIOT Act are heavily tested
- Know the difference between Grey List (EDD required) and Black List (countermeasures required)
- SAR filing standard: reasonable suspicion (not conclusive proof)
- Distinguish between MLAT (evidence, court-admissible) and Egmont (intelligence, not court-admissible)
- FSRBs conduct mutual evaluations using FATF methodology
- De-risking (blanket termination) violates the risk-based approach
- 6AMLD added corporate criminal liability for legal persons
- 5AMLD added VASPs to AML/CFT requirements
- CTR threshold in U.S.: \$10,000; SAR: no minimum for ML suspicion
- OFAC 50% Rule: multiply through tiers, only blocked entities transmit blocked status

Good luck on your CAMS exam!